

Supporting Notes - Persistency

Please be advised of the following proposed adjustments to the Persistency calculations and we are requesting your feedback and approval: -

How is Persistency calculated?

We calculate persistency by dividing Net Settled business by Gross Settled business multiplied by 100

Gross Settled Business – Business settled within the specified period minus Not Takens plus Increase PPPs plus 10% Lumpsums.

Net Settled Business – Gross Settled business minus lapses plus reinstatements.

1. What is the Problem with the Current System?

Right now, persistency is measured using fixed reports (12 months or 24 months).

What this means in real terms:

- If a policy lapses, the agent is penalised for the full report period
- It doesn't matter when the lapse happened
- Even if the policy is reinstated, the impact is limited

Example:

- Policy sold in January
- Customer stops paying in June

Under the current system:

- The agent is penalised for the entire 12 or 24 months
- Even though the policy only lasted 6 months

Key Outcome

- Agent is penalised for the full reporting period
- Impact is disconnected from actual policy lifecycle timing

2. What is Changing with the Proposed System?

The new system follows each policy individually for 24 months.

What this means:

- Every policy is tracked from when it starts

- The impact of a lapse depends on how early or late it happens
- The effect reduces over time
- Everything automatically clears after 24 months

3. How the New System Works

If a policy lapses

- You get a (debit)
- The earlier the lapse → the bigger the impact
- The later the lapse → the smaller the impact

Example:

- Lapse after 6 months → affects you for 18 months
- Lapse after 18 months → affects you for only 6 months

If the policy is reinstated

- You get a credit
- This helps to reduce the penalty
- But only for the remaining time up to 24 months

Example:

- Lapse at month 6 → penalty for 18 months
- Reinstated at month 10 → credit for 14 months
- Final impact = much smaller penalty

Net Effect on Agent

Component	Impact Duration	Effect
Lapse Debit	18 months	Negative
Reinstatement Credit	14 months	Positive
Net Impact	4 months penalty equivalent	Reduced negative effect

4. Current vs Proposed Persistency Calculation – Comparison Table

Area	Current Method	Proposed Method
Measurement Basis	12-month / 24-month reporting cycles	Rolling 24-month lifecycle per policy
Level of Measurement	Aggregate (portfolio-level)	Policy-level (agent-specific accountability)
Persistency Formula	Net Settled ÷ Gross Settled	Net Impact = Credits – Debits (time-weighted)
Treatment of Lapses	Remains on reports for fixed 12/24 months regardless of timing	Debit applied only for remaining months to 24
Treatment of Reinstatements	Adjusts aggregate totals within reporting window	Creates temporary credit for remaining months to 24
Weighting Mechanism	No weighting	Weighted by months remaining (declining impact over time)
Timing Sensitivity	No distinction between early vs late lapse	Early lapses have higher impact; late lapses reduced impact
Impact Duration	Fixed (based on reporting cycle)	Dynamic and self-expiring at 24 months
Expiry of Impact	Ends with reporting period	Automatically expires at 24 months or after 24 premiums
Transparency	Limited diagnostic capability	Fully traceable per policy and agent
Operational View	Lagging indicator	Real-time performance tracking
Fairness to Agents	Can over-penalise or under-penalise	Aligns accountability to actual policy lifecycle